priorities of the enlarged group and drive integration where there is a clear business benefit'.

Ratan and his team were, however, unprepared for what came next. In 2008, the collapse of Bear Stearns and the Lehman Brothers triggered a global economic meltdown. 'It was a storm of epic proportions' and the acquisition 'hit a storm without precedent', says Leng. Financial institutions collapsed like ninepins, taking down economies across the world. It knocked the wind out of steel companies everywhere as commodity prices plummeted in free fall.

Tata Steel found itself staring at an abyss. Corus suddenly became a nightmare. 'The way it played out was that it weakened Tata Steel,' says Hussain. He adds that no individual can be blamed for the acquisition. 'We knew the risks involved. We knew that the assets in the UK were not good. Hoogovens was very efficient. With hindsight, history may be harsh.' But he also suggests that it may have been a case of 'imperial overreach'.

Gandhi feels that the acquisition was marred by Chinese dumping (Chinese steel companies dumping their products in the European market), green levies imposed by the British government and the increased pension fund liabilities. He asserts that if there is no risk, there is no gain. 'In case you want to be successful in M&A every time, then choose to be an astrologer. Do not be a businessman.' The euphoria of having bagged a leading European brand became ephemeral. The less-efficient UK operations were affected more than the company's Dutch units. The operation cost was high. It was estimated that Tata Steel spent only $67 on manpower for the production of each tonne of steel, in comparison to the $137 that it cost for Corus. Ratan once again riveted his attention to the operations in the UK. As Noel Tata says, he is a great 'doctor' and a solutions man. He prepared the group to face the situation and in January 2009 outlined a 'strategic initiative' to protect the new acquisition. It consisted of three grids.

The first was divestment of loss-making plants. He recommended the sale of aluminium smelters in Germany and the Netherlands and the majority stake in Teesside Cast Products, in Redcar, UK. The second was restructuring. This entailed the mothballing of the Llanwern hot strip mill in Newport, South Wales, and the reorganization of the engineering steels into two businesses. The third was to enhance efficiency. It aimed at the reduction of costs by 20 per cent, modification of the British Steel Pension